Ratan responded by undertaking more welfare schemes such as building schools and hospitals and promoting adult literacy programmes, which brought the Tatas considerable goodwill amongst the locals. Posters and advertisements of the social work undertaken by the group appeared in the remote areas of the state. As the Tatas were undertaking scores of community programmes, the militants were unable to paint Tata Tea with the same brush as they did several other companies.

Paresh Baruah, commander-in-chief of ULFA, has been quoted as admitting in the context of the hospital that the Tata Group built in Chabua, 'I am from upper Assam and I know how much this hospital means for our people up there.' 'Having seen that they [Tata Tea] were indeed doing a lot of work for the people, ULFA thought it wise not to ask for money because that would affect their image among the people,' a study said.

The Tata Group thus succeeded, by and large, in insulating itself from the militants' demands. However, on 15 December 1995, in a letter, Baruah demanded 100 pairs of walkie-talkies from Tata Tea. He followed this up with persistent phone calls to the company's head office in Calcutta and to Krishna Kumar. The matter was brought to Ratan's attention, and he exhorted the Tata Tea management to stay steadfast in its policy of not yielding to any such demands.

The company responded to ULFA in January 1996 through its executive director, S.M. Kidwai. He wrote to Baruah expressing Tata Tea's inability to either pay cash or supply walkie-talkies. But ULFA refused to take no for an answer and insisted on a meeting in Bangkok.

Tata Tea officials informed the Assam home secretary about this development and sent him a copy of Kidwai's letter. Meanwhile, Krishna Kumar received threatening calls asking him to refrain from sending such letters to the home secretary.

Disappointed by the state's apathy, Ratan decided to seek the assistance of the Intelligence Bureau (IB). The responsibility was entrusted to Krishna Kumar, who played a masterstroke by enlisting the assistance of M.K. Narayanan, former director of the intelligence agency, reveals Rattan Sehgal, who was additional director, IB, at the time.

Sehgal discloses that he received a call from Narayanan, requesting him to meet the Tata Tea officials as they were facing problems in Assam. Sehgal met the delegation and advised Krishna Kumar to keep the 'channels of communications' with ULFA open. He requested the officials to try and